Why should we take into account changes in the ease of intervening over time when discounting in cost-benefit analyses of an initiative?

Discounting is a procedure used in cost-benefit analysis that attempts to account for the timing of when money is spent on an initiative. It 'discounts' (reduces) the estimated monetary value of the benefits from an intervention the longer into the future such benefits arise. The argument for this is that if you hold back on putting money into an initiative, then you could potentially invest that money. You would then get interest from that money over the period during which you delayed spending it on the initiative.

It is important when doing such economic analyses to make sure that you take into account another consideration, which is whether the ease of intervening to achieve outcomes remains the same over time. Where this is not the case with a particular initiative, then the analysis should take into account the fact that it gets more difficult and costly to intervene over time.

For instance, it is likely that in a number of cases it becomes progressively harder (and more expensive) to intervene to assist young people who are going through difficult times as they age. If this is the case regarding a particular youth development initiative, then just discounting (reducing the estimated monetary benefits arising from the initiative) without making a counter-balancing adjustment for the increasingly difficult (cost) of intervening is a technical mistake.

Any cost-benefit analysis should address the issue of the cost of intervening over time.